August 7, 2026 05:46 PM GMT

Back on the Rack

A Cross-Asset Perspective on Section 301 Tariffs

SPEAKERS

Jenna Giannelli Credit Analyst
Arunima Sinha Global Economist
Ariana Salvatore Equity Strategist, US Public Policy
Martin Tobias, CFA, CMT US Rates Strategist
Simeon Gutman, CFA Equity Analyst, Hardlines / Broadlines
Alex Straton Equity Analyst, Softlines Retail & Brands

August 2026

Today's Speakers

Fixed Income, Economics, Public Policy and Equity Research

Jenna Giannelli

Credit Analyst | Retail & Consumer Corporate Credit

Frames the key takeaways and the credit-specific read-through.

Arunima Sinha

Global Economist

Realized effective tariff rates and the consumer inflation impulse.

Ariana Salvatore

Equity Strategist, US Public Policy

Durability of the 10% to 12.5% baseline and implementation risk.

Martin Tobias, CFA, CMT

US Rates Strategist

IEEPA refund math: $99bn paid, how much is left to run.

Simeon Gutman, CFA

Equity Analyst | Hardlines, Broadlines & Food Retail

Sporting goods and furniture as the clearest equity winners.

Alex Straton

Equity Analyst | Softlines Retail & Brands

Embedded 2H tariff assumptions and 2H EPS upside.

Executive Summary: An Underappreciated Relief

Section 301 preserves most of 1H26's tariff relief, limits renewed inflation risk and supports 2H26 to 2027 margin, earnings and cash flow

Our Retail / Consumer basket lands at a 12% all-in effective rate under Section 301, only 1.0ppt above Section 122 and 8ppt below the calendar-weighted IEEPA regime. Not a low-tariff world, but a materially more stable and less inflationary run-rate than we believe many companies and investors assumed.

1. **Peak tariff shock is behind the consumer complex**
   Consumer goods basket at 12% under Section 301 vs. 19% under average IEEPA; softlines at 24% vs. 35%. Realized World rates across nine consumer categories fell from 17% in 4Q25 to 10% in April to May 2026.

2. **The 2027 margin story is timing-driven**
   On an illustrative 90-day inventory-to-COGS lag, costs fade in 2Q26, flip to the strongest YoY tailwind in 3Q26, and stay supportive through 1H27 before comps normalize in 2H27.

3. **The biggest winners paid the most, and likely keep the price**
   Softlines carrying high embedded 2H tariff assumptions, plus furniture and sporting goods with pricing power and direct-importer refund eligibility.

4. **The credit benefit is recurring; IEEPA refunds are not**
   Lower landed costs lift gross margin, EBITDA and FCF. Refunds accelerate 2Q26 / 3Q26 cash flow but should sit outside the run-rate.

5. **Policy is durable at the baseline, but not static beneath it**
   Continuity around 10% to 12.5%. The swing factors are litigation outcomes, affordability into the midterms and the USMCA negotiations.

Source: USTR, USITC, Morgan Stanley Research estimates. See "Back on the Rack: Cross-Asset Perspective on Section 301 Tariffs," August 3, 2026.

Agenda

Prepared comments from the report authors, followed by live Q&A

1	**Section 301 by the numbers** What the July 24 framework actually costs the consumer complex, and when it hits the P&L	**Jenna Giannelli**
2	**Keeping the lid on tariff inflation** Realized effective rates have already stepped down 7ppt; the incremental impulse is small	**Arunima Sinha**
3	**Durable headline, uneven implementation** A 10% to 12.5% baseline that holds, with litigation, USMCA and midterms underneath	**Ariana Salvatore**
4	**Sizing the IEEPA refund tailwind** $99bn refunded through July 29; roughly one-quarter to one-third still outstanding	**Martin Tobias, CFA, CMT**
5	**Credit: where the margin benefit lands** Retail / Apparel captures the larger tailwind; Consumer Products smaller but still positive	**Jenna Giannelli**
6	**Equity Hardlines: who keeps the price** Sporting goods and furniture retail screen best on pricing power and refund eligibility	**Simeon Gutman, CFA**
7	**Equity Softlines: 2H EPS upside** Coverage embedded 2H tariff assumptions above the new rates; LULU and VSXY screen best	**Alex Straton**

Source: Morgan Stanley Research.

SECTION 1

Section 301 by the Numbers

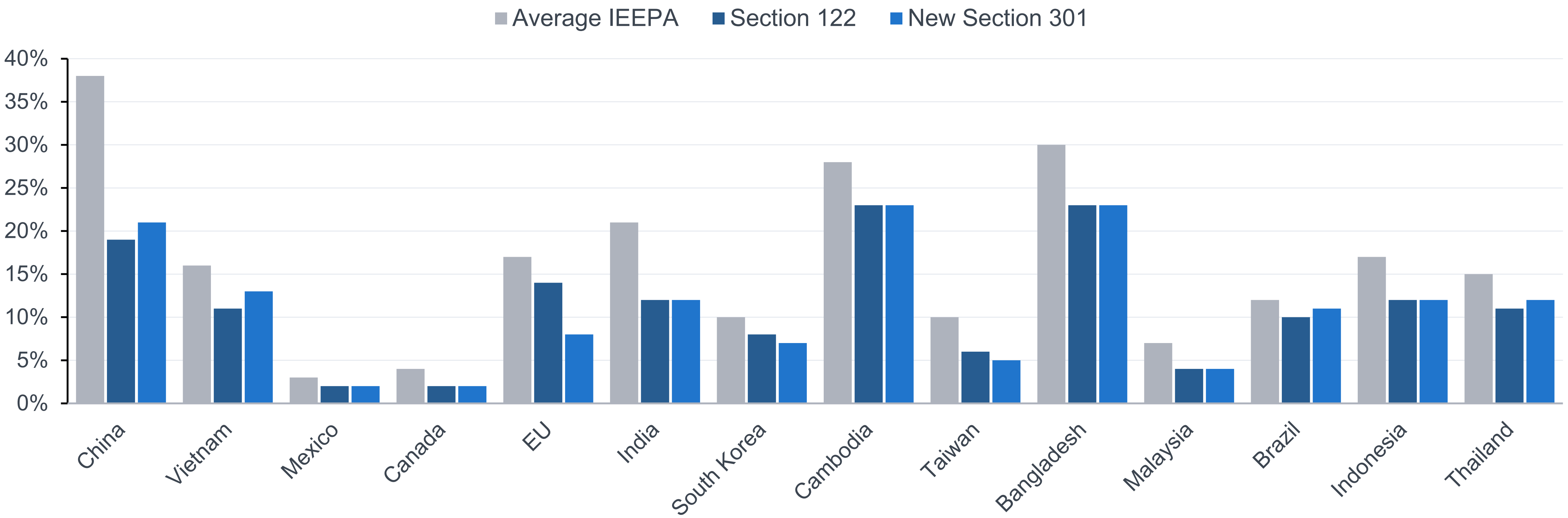
What the July 24 framework actually costs the consumer complex, and when the relief reaches the P&L

Jenna Giannelli, Credit Analyst

Section 301 Cuts Peak IEEPA Rates Across Every Major Sourcing Market

China sees the largest absolute relief (38% → 21%); the EU benefits most versus Section 122 (14% → 8%), while China and Vietnam step modestly higher

All-in effective consumer goods tariff rate by sourcing market and tariff regime (%)



Rates stay above pre-IEEPA levels almost everywhere, so geographic mix remains a key determinant of company-level exposure. Key softlines hubs Cambodia and Bangladesh hold at 23%, Vietnam at 13%.

Source: United States Trade Representative (USTR), Morgan Stanley Research. Note: Fixed 2024 Retail / Consumer import mix across key consumer-goods sourcing markets (~70% of category imports); models statutory tariffs, MFNs, the effective legacy China Section 301 layer and regime-specific exclusions.

Better Than a “Midpoint” Outcome: 12% Blended, 24% Softlines

Investors were largely positioned for a rate near the middle of Section 122 and IEEPA (15%); Section 301 lands close to Section 122 instead

Category average all-in effective rates across tariff regimes

CATEGORY	2024 IMPORT VALUE ($BN)	PRE-IEEPA	AVERAGE IEEPA	SECTION 122	NEW SECTION 301	NEW VS. AVG IEEPA
Apparel	$93.0	15%	35%	25%	24%	-11ppt
Footwear	$40.9	14%	36%	24%	24%	-11ppt
Accessories & travel goods	$38.1	16%	35%	25%	22%	-13ppt
Home / furniture / housewares	$118.9	9%	26%	16%	16%	-10ppt
Consumer electronics	$343.6	2%	11%	5%	6%	-5ppt
Beauty / personal care / household	$47.0	4%	16%	11%	9%	-7ppt
Toys / sporting / leisure	$48.8	2%	29%	11%	13%	-16ppt
Food / beverage / consumables	$114.0	3%	11%	6%	5%	-6ppt
Softlines composite	**$171.9**	**15%**	**35%**	**25%**	**24%**	**-11ppt**
All consumer categories	**$844.3**	**6%**	**19%**	**11%**	**12%**	**-8ppt**

Softlines remains the structural pressure point. Apparel, footwear and accessories carry high MFN duties before any Section 301 layer, and China retains the legacy 2018 to 2019 Section 301 tariffs on top.

Source: USTR, Morgan Stanley Research. Note: A simple Section 122 / IEEPA midpoint would imply 15% for all consumer categories and 30% for softlines.

The Call Is About Cadence, Not the July 24 Headline

Tariff costs peaked in the 3Q25 P&L; 3Q26 should show the strongest YoY tailwind, with support persisting through 1H27

When tariff costs reach the P&L: illustrative 90-day inventory-to-COGS lag

Reporting calendar quarter	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E
Imported goods quarter	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
Regime in import quarter	Pre-IEEPA	IEEPA starts	Peak IEEPA	IEEPA normal	Late IEEPA	IEEPA / 122	Section 122	122 / 301	Section 301	Section 301	Section 301	Section 301	Section 301
Margin read-through	**Flat**	**Modest HW**	**Peak HW**	**Elevated HW**	**Elevated HW**	**Modest HW**	**Peak TW**	**Strong TW**	**Strong TW**	**Tailwind**	**Slight HW**	**Flat**	**Flat**

2Q26
Residual IEEPA pressure still washing through (a fading headwind, not yet a benefit).

3Q26E
The strongest YoY tariff-cost tailwind as Section 122 inventory replaces peak IEEPA goods.

4Q26E to 1H27E
Support persists; equity upside where embedded assumptions were higher and pricing sticks.

2H27E
Closer to flat as the comparison fully annualizes the new Section 301 run-rate.

Company-specific inventory turns can shift this cadence by a quarter in either direction; we view 60 to 120 days as a reasonable sensitivity range.

Source: Morgan Stanley Research estimates. HW = headwind, TW = tailwind. Schedule is purely illustrative. Faster-turn businesses may recognize the benefit earlier, while seasonal or slower-turn models may lag.

Softlines Is Still the Structural Pressure Point

High MFN duties plus China's legacy 2018 to 2019 Section 301 layer keep apparel, footwear and accessories elevated; electronics and food are the relative winners

New Section 301: all-in effective rate by select sourcing market and category (%)

CATEGORY	CHINA	VIETNAM	INDONESIA	BANGLADESH	INDIA	TAIWAN	EU	MEXICO
Apparel	34.9%	27.9%	28.0%	25.0%	24.0%	13.0%	10.5%	4.0%
Footwear	32.8%	26.4%	21.3%	15.8%	20.0%	14.0%	10.0%	2.5%
Accessories & travel goods	48.9%	21.4%	21.8%	19.6%	18.0%	9.9%	9.9%	4.0%
Home / furniture / housewares	38.5%	13.1%	9.0%	11.0%	12.0%	7.9%	9.4%	2.5%
Beauty / personal care	28.3%	15.8%	11.7%	13.5%	12.5%	8.5%	9.1%	1.5%
Toys / sporting / leisure	15.0%	13.0%	10.7%	11.0%	11.0%	9.6%	9.6%	2.0%
Food / beverage / consumables	15.0%	9.0%	8.0%	9.5%	7.5%	5.5%	6.1%	1.5%
Consumer electronics	10.5%	6.1%	5.2%	6.0%	4.3%	3.6%	3.7%	1.2%

Goods from China face the highest tariff rates, with accessories / travel goods at 48.9% and home / housewares at 38.5%. Consumer electronics averages ~6% and food ~5%, which is why broad market averages overstate pressure on electronics-heavy importers and understate it for softlines.

Source: USTR, USITC, Morgan Stanley Research estimates. Note: Includes country MFN + effective legacy China Section 301 + regime-specific exemptions. Cambodia, Thailand, Canada and Malaysia shown in the full report exhibit.

SECTIONS 2 TO 4

Macro, Policy and the Refund Tailwind

Why the incremental inflation impulse is small, what could still move underneath a durable headline, and how much refund cash is left to come

Arunima Sinha, Global Economist · Ariana Salvatore, Equity Strategist · Martin Tobias, CFA, CMT, US Rates Strategist

Keeping the Lid On: Section 301 Limits a Renewed Inflation Impulse

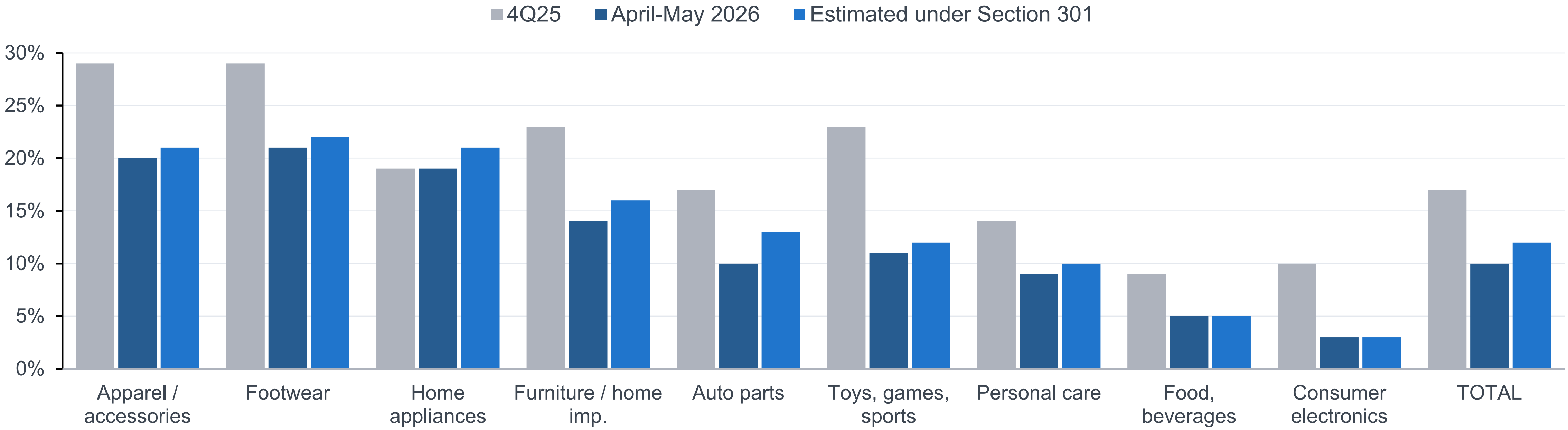
Realized effective rates have already stepped down 7ppt since 4Q25; the change from here (the margin that matters for pricing decisions) is small

17% → 10%
World effective rate across nine consumer categories, 4Q25 to April to May 2026

+1ppt
Median category increase under Section 301 vs. April to May realized rates

4 to 11ppt
Lower than 4Q25 in eight of the nine consumer categories

Effective tariff rates by consumer goods category, World basis (%)



Source: United States International Trade Commission (USITC), Morgan Stanley Research. Note: Historical rates are customs-value weighted, so changes reflect product and sourcing mix as well as tariff policy. Section 301 estimates use January to April 2026 trade volumes. Not directly comparable to the modelled import-mix rates on earlier slides.

Section 301 Leaves Our Inflation Outlook Unchanged

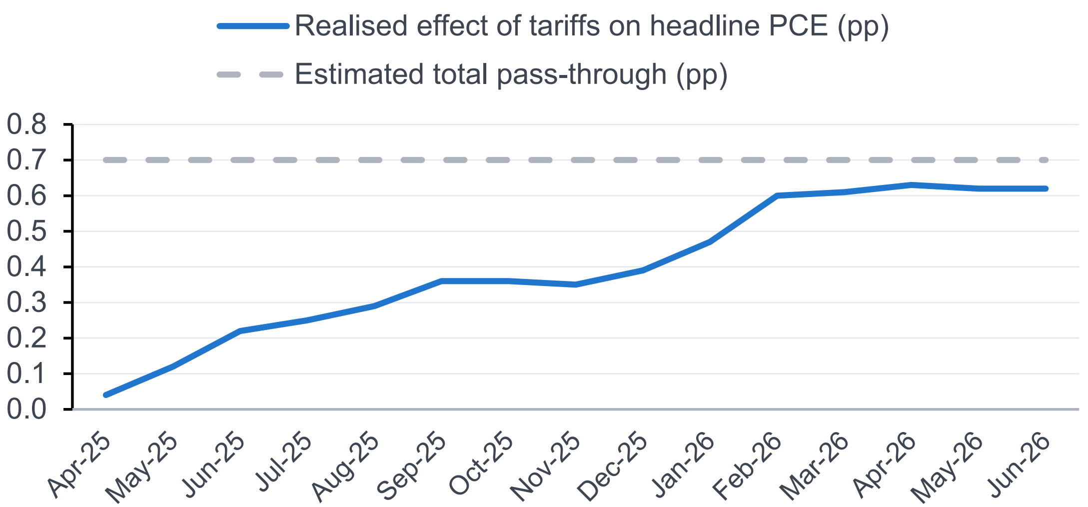
The new duties took effect as Section 122 expired (a handoff, not a tariff cliff), and the resulting ~2pp step-up in the effective rate is already inside our forecast

~70bp
cumulative addition to PCE inflation from tariffs, our unchanged forecast

~62bp
already realised, per our tariff pass-through tracker

Since Feb
realised pass-through has been broadly stable

Cumulative tariff pass-through to PCE inflation (pp)



What this does, and does not, change

- **No change to the inflation call.**
  Consistent with both our expectations and our current forecast.
- **The impulse had already peaked.**
  Broadly stable since February. The impulse from tariffs already in place had nearly peaked.
- **Section 301 is the final push, not a new shock.**
  The more stable duties should close the remaining gap to 70bp rather than add upside risk.
- **Statutory rate still converges to ~10%.**
  Section 232 remains the targeted sectoral overlay for strategic and capital-intensive goods.

Remaining uncertainty is about implementation (pending Section 232 actions and country-specific escalation), not the persistence of the broad tariff floor.

Source: BEA, Morgan Stanley Research. See “U.S. Data Pulse: Tariffs and inflation: Section 301 forced-labor tariffs leave our inflation outlook unchanged,” July 24, 2026. Note: Realised rates can differ from statutory estimates because of product exclusions, MFN caps, bilateral arrangements, refunds and changes in import composition.

A Durable Headline, With Uneven Implementation Underneath

The administration prioritised continuity in replacing Section 122; we expect the 10% to 12.5% baseline to hold

Base case: continuation of current policy, even if the tariffs are litigated through several courts, consistent with the precedent set by the IEEPA challenges.

WHAT HOLDS THE HEADLINE UP

- Baseline of 10% to 12.5% is largely consistent with prior levels, and we expect it to stay around that level.
- Section 301 rests on much firmer legal footing than IEEPA, with clear precedent, China being the obvious example.
- Limited near-term catalysts to change the aggregate level.

WHAT COULD CREATE AN 'AIR POCKET'

- Litigation risk remains: some importers have already challenged the new regime at the Court of International Trade.
- Affordability into the midterms has driven recent exceptions, carve-outs and delays. We expect more of the same.
- Limited legal authority to hold tariffs on goods that are neither national-security relevant nor tied to a live Section 301 investigation.

Swing factors we are watching

Litigation
CIT challenges to the forced-labor framework

USMCA
Negotiations set effective rates for our largest partners

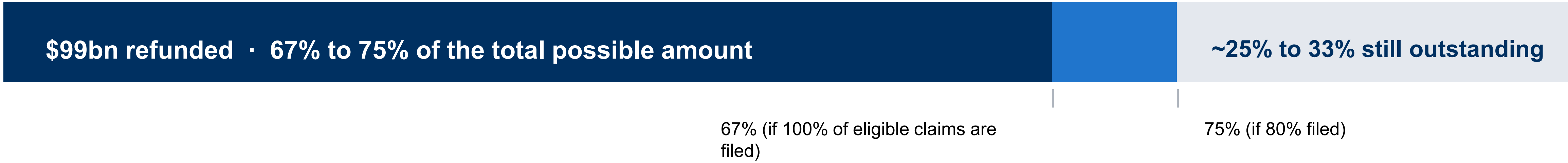
Midterms
Affordability pressure into November

Source: Morgan Stanley Research.

$99bn Refunded: Most of the IEEPA Cash Is Already Back

We estimate roughly one-quarter to one-third of eligible refunds is still outstanding, providing an incremental 3Q26 cash flow tailwind

Progress on IEEPA duty refunds, as of July 29, 2026



Refunds should complete this quarter

Given the pace of payments to date, we expect the IEEPA refund cycle to be largely finished within 3Q26.

Net customs receipts turned negative

Refunds exceeded total tariff receipts in June and July, flipping monthly net customs receipts below zero.

Funded with short-dated T-bills

We continue to expect the incremental financing need created by these refunds to be met in the bill sector.

Incremental, not recurring

For issuers that are importers of record this is a 3Q26 (and possibly early 4Q26) liquidity event, not part of the run-rate.

Source: Morgan Stanley Research, US Treasury, Bloomberg. Note: Estimates are based on cumulative additional withdrawals from US Customs and Border Protection in 2026 vs. 2025, from May 12 of each year. The 67% to 75% range depends on whether 80% or 100% of eligible refund claims are submitted by importers.

SECTIONS 5 TO 7

Sector Implications: Who Paid, Who Keeps It

Where the margin benefit lands in credit, and which equities screen best on exposure, pricing power and refund eligibility

Jenna Giannelli, Credit Analyst · Simeon Gutman, CFA, Equity Analyst · Alex Straton, Equity Analyst

Credit: Retail / Apparel Captures the Larger Tailwind

~65% of Retail / Apparel COGS is sourced from Asia, including ~22% from China. The sector absorbed an outsized cost burden and should now see the largest reversal

~65%
of Retail / Apparel COGS sourced from Asia

~22%
of COGS sourced from China

2H26 to 1H27
when the margin and EBITDA benefit is most visible

Relative exposure rankings across our Retail / Apparel coverage (most exposed at top)

CHINA SOURCING

ASO · MIK · QVCN · W · DDS · KSS · M · AS · RH · HD · LOW · WOOF · CROX · WWW · TPR · BBWI · GAP · SBH · CRI · VFC · VSXY · UA · LEVI

TOTAL ASIA SOURCING

CROX · TPR · ASO · CRI · VSXY · W · KSS · WWW · AS · UA · GAP · DDS · VFC · RH · LEVI · M · MIK · QVCN · HD · LOW · WOOF · SBH · BBWI

GROSS TARIFF HEADWIND (% OF SALES)

MIK · GAP · UA · RH · VSXY · KSS · CRI · ASO · QVCN · M · WWW · DDS · CROX · AS · VFC · HD · LOW · LEVI · SBH · TPR · WOOF · BBWI · W

Geography matters, but it is not the only driver

Tariff sensitivity also depends on position in the supply chain (direct importer vs. retailer of third-party brands), domestic vs. global sales mix, and gross-margin profile. The most sensitive issuers combine elevated direct sourcing with margin structures that amplify changes in landed cost: MIK, GAP, VSXY, KSS, RH, UA and CRI. Higher-margin, more internationally diversified or more domestically sourced names (BBWI, WOOF, W, SPLS, SBH, LEVI) face lower headwinds, though still more than most non-retail consumer sectors.

Pricing across discretionary categories has held up better than we and many investors expected. As higher-cost inventory rolls through, issuers that retain that pricing should realise a favourable price-cost spread, first in gross margin and EBITDA, then in FCF and deleveraging capacity.

Source: Company filings, Morgan Stanley Research estimates. Rankings shown in descending order of estimated exposure.

Credit: Consumer Products, Smaller Upside but Still Positive

A “no worse” outcome versus Section 122, with NWL, COTY, ENR and EPC the more meaningful beneficiaries across our coverage

~7%
of COGS sourced from China

~13.5%
of COGS sourced from Asia

~2.25%
average gross tariff headwind as a share of sales

Relative exposure rankings across our Consumer Products coverage (most exposed at left)

CHINA SOURCING

EPC · SPB · SGI · COTY · NWL · SMG · ENR · PBH · WHR · CENT

TOTAL ASIA SOURCING

NWL · SPB · EPC · WHR · SGI · COTY · CENT · SMG · ENR · PBH

GROSS TARIFF HEADWIND (% OF SALES)

ENR · EPC · WHR · NWL · SMG · SGI · SPB · COTY · PBH · CENT

WHY THE UPSIDE IS SMALLER

Materially lower China and Asia sourcing exposure, less pricing power than discretionary categories, and a category mix that receives less tariff relief, capping the absolute dollar benefit.

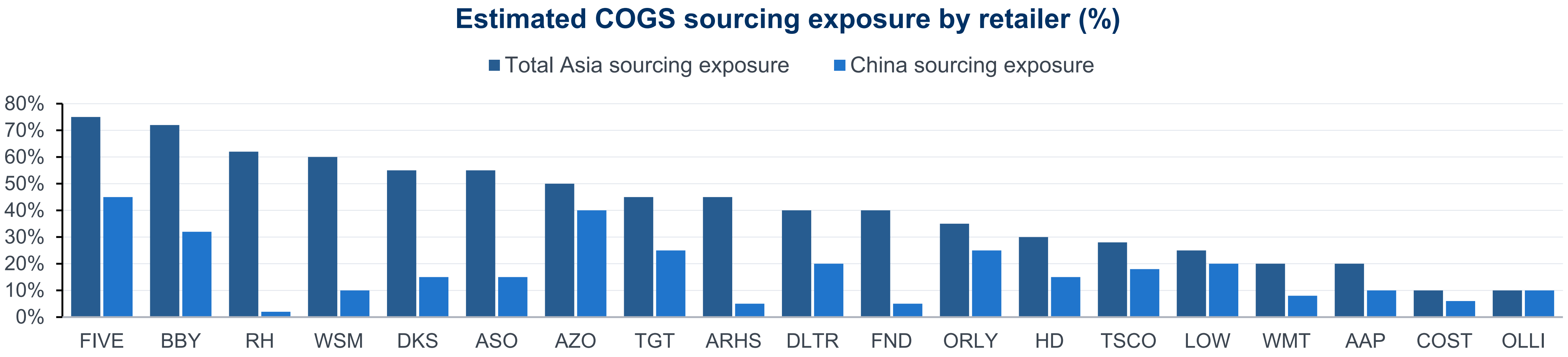
WHY IT STILL MATTERS

Lower gross margins and rising consumer elasticity have made tariffs harder to offset here, so even modest costs weighed on profitability. A better COGS backdrop and greater cost stability into late 2027 should support EBITDA, FCF and leverage.

Source: Company filings, Morgan Stanley Research estimates. Rankings shown in descending order of estimated exposure; see Exhibits 16 to 18 of the underlying report for magnitudes.

Hardlines: Sporting Goods and Furniture Look Best Situated

FIVE, BBY, RH and WSM lead on Asia sourcing; our coverage averages ~17% estimated exposure to China



Biggest beneficiaries of the IEEPA to Section 301 transition

Sporting Goods

High pricing power

GOLF, CALY, DKS

Secular growth, innovation and the World Cup; higher-income households enjoying the wealth effect; gross-margin upside as tariff costs subside.

Home Furnishings

High pricing power

RH, WSM, ARHS, BOBS

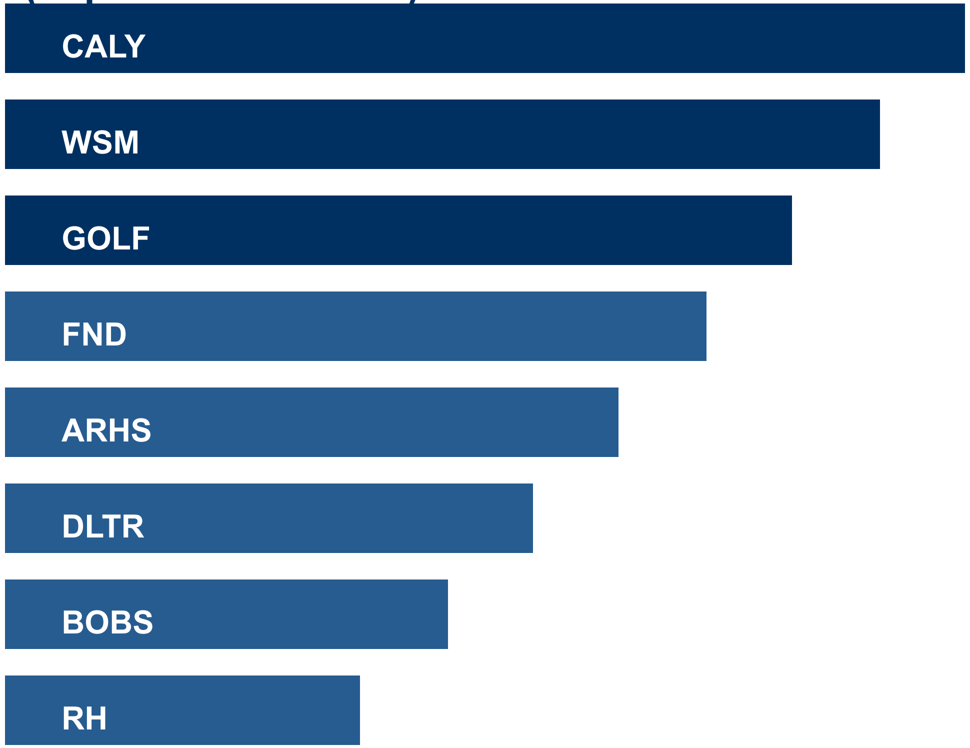
Affluent household spending remains resilient; substantial tariff impact of ~4% to 6%; relatively limited price sensitivity on higher-ticket purchases.

Source: Company data, Morgan Stanley Research estimates. Note: Estimated COGS exposure to Asia and to China across Hardlines / Broadlines / Food Retail coverage.

Refunds: Who Collects, and What They Do With It

A tailwind to 2Q26e and 3Q26e P&Ls, but where it lands in earnings depends entirely on whether the cash is reinvested, offset or retained

Largest expected refunds as a share of US revenue (importers of record)



Ranked highest to lowest; estimated refund as a % of US revenue ranges up to ~4%.

Expected use of proceeds across the coverage universe

Price reinvestment

Broadlines (WMT, COST, TGT, BJ) should push refunds back into price, particularly in grocery.

Cost offsets

Home Improvement (HD, LOW, FND) will likely deploy some of it against higher freight and transportation costs.

Flow-through to earnings

Sporting Goods, led by golf equipment manufacturers GOLF and CALY, plus DKS, should see the strongest earnings flow-through.

No direct claim

Auto parts (ORLY, AZO, AAP) and category specialists (ULTA, BBY, TSCO, WOOF, SBH) paid tariffs through suppliers but are not importers of record.

Source: Company data, Morgan Stanley Research estimates. Note: Refund eligibility applies to direct claimants as importers of record; timing and use of proceeds will vary by company. We view refunds as incremental to, rather than part of, the recurring margin benefit from lower go-forward tariff costs.

Softlines: 2H EPS Upside, With LULU and VSXY Screening Best

Coverage generally embedded 2H tariff assumptions above the new incremental Section 301 rate for apparel and accessories

The gap that creates the upside

~20%
Incremental tariff rate embedded by LULU and VSXY

~10%
New incremental Section 301 rate for apparel and accessories

Both names embedded roughly double the new incremental rate, making them the clearest potential beneficiaries in our coverage. Across the group, every company with a disclosed 2H tariff assumption (all but BBWI and KSS) now carries potential upside versus current EPS guidance.

Upside, not downside

We see no clear downside EPS risk related to this development for Softlines Retail.

Consensus is beatable

Consistent with our coverage resumption view that ’26e consensus estimates are fair-to-beatable.

One of several drivers

Additional tariff mitigation and/or relief is one of several potential upside drivers, not the whole story.

Note: Rates are the difference between post-Section 301 forecast category tariff rates and 2024 actual rates; category forecasts weight country-specific rates by January to April trade volumes. Implied company rates are calculated from company commentary.

Source: Company filings, Morgan Stanley Research. See Exhibit 24 of the underlying report for company-level embedded assumptions.

Where We Go From Here

The debate shifts from the level of tariffs to the cadence of relief, and to what companies choose to do with it

Section 301 is not a return to a low-tariff world. It is a more stable, materially less inflationary run-rate than many companies and investors had assumed, and it arrives as the hardest YoY comparisons roll off.

What we are watching from here

- **Litigation**
  Court of International Trade challenges to the forced-labor framework
- **USMCA**
  Negotiations that set effective rates for our largest trading partners
- **Midterm affordability**
  Further carve-outs, exceptions and delays into November
- **Section 338s on Canada**
  Announced, with implementation date of August 19, 2026

What we will be testing on the print

Does the pricing hold?

The upside depends on retaining tariff-driven price as landed costs fall. Watch gross margin bridges, not just headline beats.

Refunds: kept, reinvested or offset?

Separate the one-time IEEPA cash from the recurring margin benefit. Ask management where the proceeds went.

Whose guidance was too conservative?

Companies with embedded 2H assumptions above the new rates have room; those without disclosure are harder to underwrite.

Source: Morgan Stanley Research. See "Back on the Rack: Cross-Asset Perspective on Section 301 Tariffs," August 3, 2026.

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Jenna Giannelli, Ariana Salvatore, Martin Tobias, Simeon Gutman, Alex **Global Research Conflict Management Policy**

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictpolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Abercrombie & Fitch Co., Academy Sports and Outdoors Inc, Acushnet Holdings Corp, Advance Auto Parts Inc, American Eagle Outfitters, Inc., Bath & Body Works, Inc., Best Buy Co Inc, BJ'S Wholesale Club, Callaway Golf Co, Costco Wholesale Corp, Dick's Sporting Goods, Dollar General Corporation, Dollar Tree Inc, Five Below Inc, Floor & Decor Holdings Inc, Home Depot Inc, Kohl's, Lowe's Companies Inc, Lululemon Athletica Inc., Macy's Inc., National Vision Holdings Inc., Ollie's Bargain Outlet Holdings Inc, RH, Sally Beauty Holdings Inc, Tapestry Inc, Target Corp, Tractor Supply Co, Ulta Beauty Inc, Valvoline Inc., Victoria's Secret & Company, Walmart Inc, Williams-Sonoma Inc.
Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Acushnet Holdings Corp, Bob's Discount Furniture, Inc., Driven Brands Holdings Inc, Home Depot Inc, Urban Co Limited, Walmart Inc.
Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Acushnet Holdings Corp, Bob's Discount Furniture, Inc., Driven Brands Holdings Inc, Home Depot Inc, Kohl's, Tapestry Inc, Urban Co Limited, Valvoline Inc., Walmart Inc.
In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Abercrombie & Fitch Co., Academy Sports and Outdoors Inc, Acushnet Holdings Corp, Arhaus Inc, Best Buy Co Inc, Bob's Discount Furniture, Inc., Callaway Golf Co, Costco Wholesale Corp, Dick's Sporting Goods, Dollar General Corporation, Driven Brands Holdings Inc, Floor & Decor Holdings Inc, Gap Inc, Home Depot Inc, Kohl's, Lowe's Companies Inc, Lululemon Athletica Inc., Ollie's Bargain Outlet Holdings Inc, RH, Tapestry Inc, Target Corp, Tractor Supply Co, Ulta Beauty Inc, Urban Co Limited, Valvoline Inc., Walmart Inc, Williams-Sonoma Inc.
Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Abercrombie & Fitch Co., Academy Sports and Outdoors Inc, Acushnet Holdings Corp, Advance Auto Parts Inc, BJ'S Wholesale Club, Dollar General Corporation, Driven Brands Holdings Inc, Gap Inc, Home Depot Inc, Kohl's, Lowe's Companies Inc, Macy's Inc., National Vision Holdings Inc., Petco Health and Wellness co, RH, Tapestry Inc, Target Corp, Torrid Holdings Inc., Valvoline Inc., Walmart Inc.

Disclosure Section (cont)

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Abercrombie & Fitch Co., Academy Sports and Outdoors Inc, Acushnet Holdings Corp, Arhaus Inc, Best Buy Co Inc, Bob's Discount Furniture, Inc., Callaway Golf Co, Costco Wholesale Corp, Dick's Sporting Goods, Dollar General Corporation, Driven Brands Holdings Inc, Floor & Decor Holdings Inc, Gap Inc, Home Depot Inc, Kohl's, Lowe's Companies Inc, Lululemon Athletica Inc., Ollie's Bargain Outlet Holdings Inc, RH, Tapestry Inc, Target Corp, Tractor Supply Co, Ulta Beauty Inc, Urban Co Limited, Valvoline Inc., Walmart Inc, Williams-Sonoma Inc.
Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Abercrombie & Fitch Co., Academy Sports and Outdoors Inc, Acushnet Holdings Corp, Advance Auto Parts Inc, BJ'S Wholesale Club, Callaway Golf Co, Dollar General Corporation, Driven Brands Holdings Inc, Gap Inc, Home Depot Inc, Kohl's, Lowe's Companies Inc, Macy's Inc., National Vision Holdings Inc., Petco Health and Wellness co, RH, Tapestry Inc, Target Corp, Torrid Holdings Inc., Valvoline Inc., Walmart Inc, Wayfair Inc.
An employee, director or consultant of Morgan Stanley is a director of Abercrombie & Fitch Co., Walmart Inc. This person is not a research analyst or a member of a research analyst's household.
Morgan Stanley & Co. LLC makes a market in the securities of Academy Sports and Outdoors Inc, Acushnet Holdings Corp, Arhaus Inc, Callaway Golf Co, Driven Brands Holdings Inc, Five Below Inc, Kohl's, National Vision Holdings Inc., Sally Beauty Holdings Inc, Victoria's Secret & Company, Williams-Sonoma Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution
(as of July 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Disclosure Section (Cont.)

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	**1529**	**42%**	**442**	**47%**	**29%**	**750**	**43%**
Equal-weight/Hold	**1582**	**43%**	**396**	**42%**	**25%**	**773**	**44%**
Not-Rated/Hold	**3**	**0%**	**1**	**0%**	**33%**	**1**	**0%**
Underweight/Sell	**560**	**15%**	**97**	**10%**	**17%**	**217**	**12%**
Total	**3,674**		**936**			**1741**	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Disclosure Section (Cont.)

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (http://www.morganstanley.com/terms.html). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (http://www.morganstanley.com/terms.html). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Disclosure Section (Cont.)

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.
Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.
To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.
Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.
Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India (“SEBI”) and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the “Order”); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.
The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

Disclosure Section (Cont.)

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

The following authors are neither Equity Research Analysts/Strategists nor Fixed Income Research Analysts/Strategists and are not opining on or expressing recommendations on equity or fixed income securities: Arunima Sinha.

The following authors are Fixed Income Research Analysts/Strategists and are not opining on or expressing recommendations on equity securities: Jenna L Giannelli; Ariana Salvatore; Martin W Tobias, CFA.

Jf07/08

The Americas	Europe	Japan	Asia/Pacific
1585 Broadway New York, NY 10036-8293 United States +1 212 761 4000	20 Bank Street, Canary Wharf London E14 4AD United Kingdom +44 (0)20 7425 8000	1-9-7 Otemachi, Chiyoda-ku Tokyo 100-8104 Japan +81 (0) 3 6836 5000	1 Austin Road West Kowloon Hong Kong +852 2848 5200